

TEAM

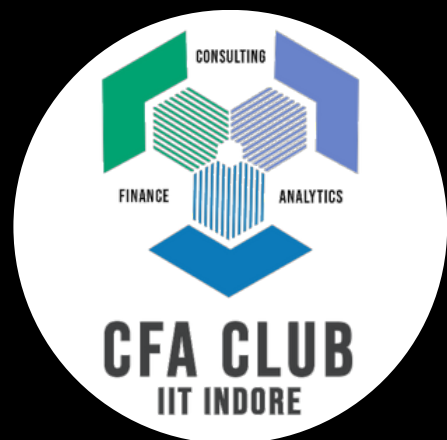
PRASOON PANDEY

SAMRIDHI



CRED

CASE STUDY



What is CRED?



CRED, founded in 2018 by Kunal Shah, is an Indian fintech company addressing trust issues in finance. Shah aimed to connect credible individuals with lenders. The CRED app enables timely credit card repayments, rewarding users with points for exclusive offers. By April 2021, CRED became a unicorn, valued at \$2.2 billion.



“Not everyone gets in”
“Most rewarding credit card app”

CRED’s brief history

2018

Launched with the primary goal of rewarding high trust users with good credit scores for timely credit card bill payments. Reached its 1 million user mark.

2019

Gained popularity for its sleek user interface and unique proposition of rewarding financial discipline. Had a substantial user base 5 million by the end of the year.

2020

Introduced CRED RentPay & CRED Store which enabled users to purchase products from various brands using their CRED coins. Became an official IPL partner, gaining a massive audience of cricket enthusiasts.

2021

Partnered with IDFC Bank, launching CRED Mint for lending with interest earnings. Introduced CRED Travel for bookings and CRED Cash for quick loans. Starting as a billion-dollar firm, they hit 5 million users.

2022

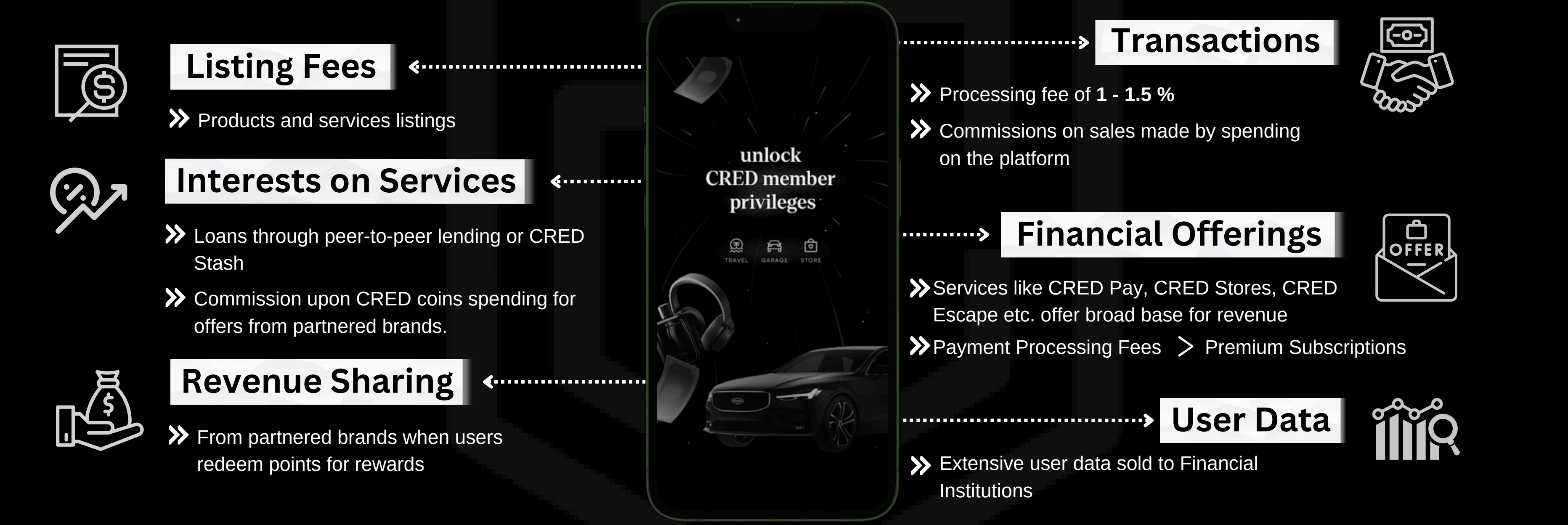
The valuation increased to \$6.4 billion and user base of over 11 million. Invested in various fintech startups, including CredAvenue, and continued to enhance its ecosystem of services.

2023

Introduced features like CRED Garage, CRED Escape , & payment solutions such as Scan and Pay, Tap to Pay, and Pay Anyone via UPI and RuPay cards.

Revenue Streams of CRED

The progressive business model of CRED leverages multiple revenue streams creating a robust ecosystem for creditworthy users

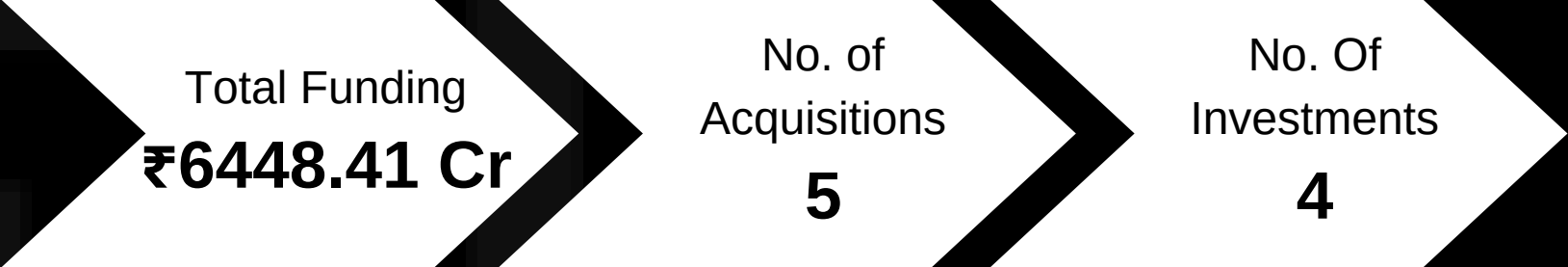
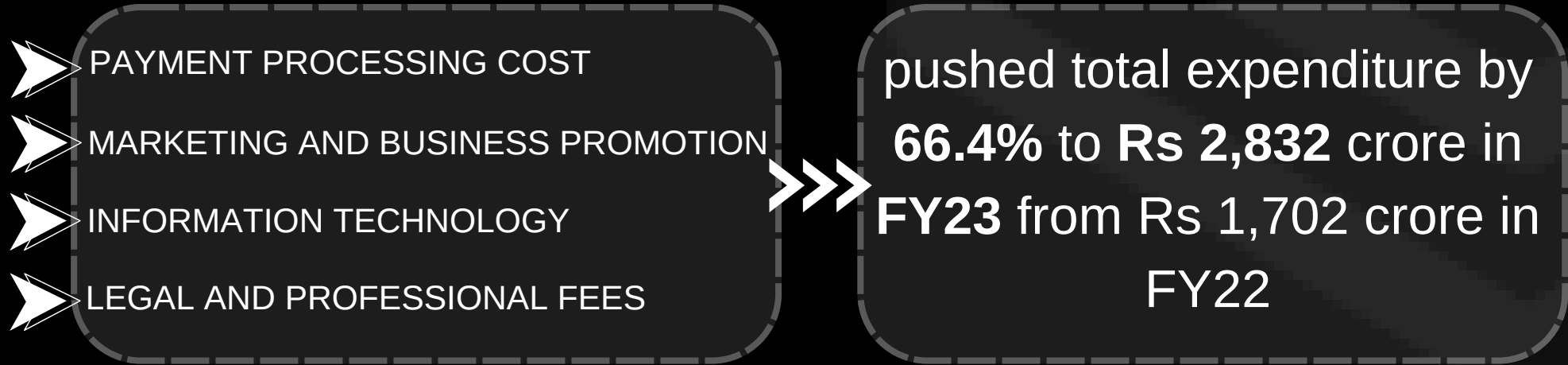
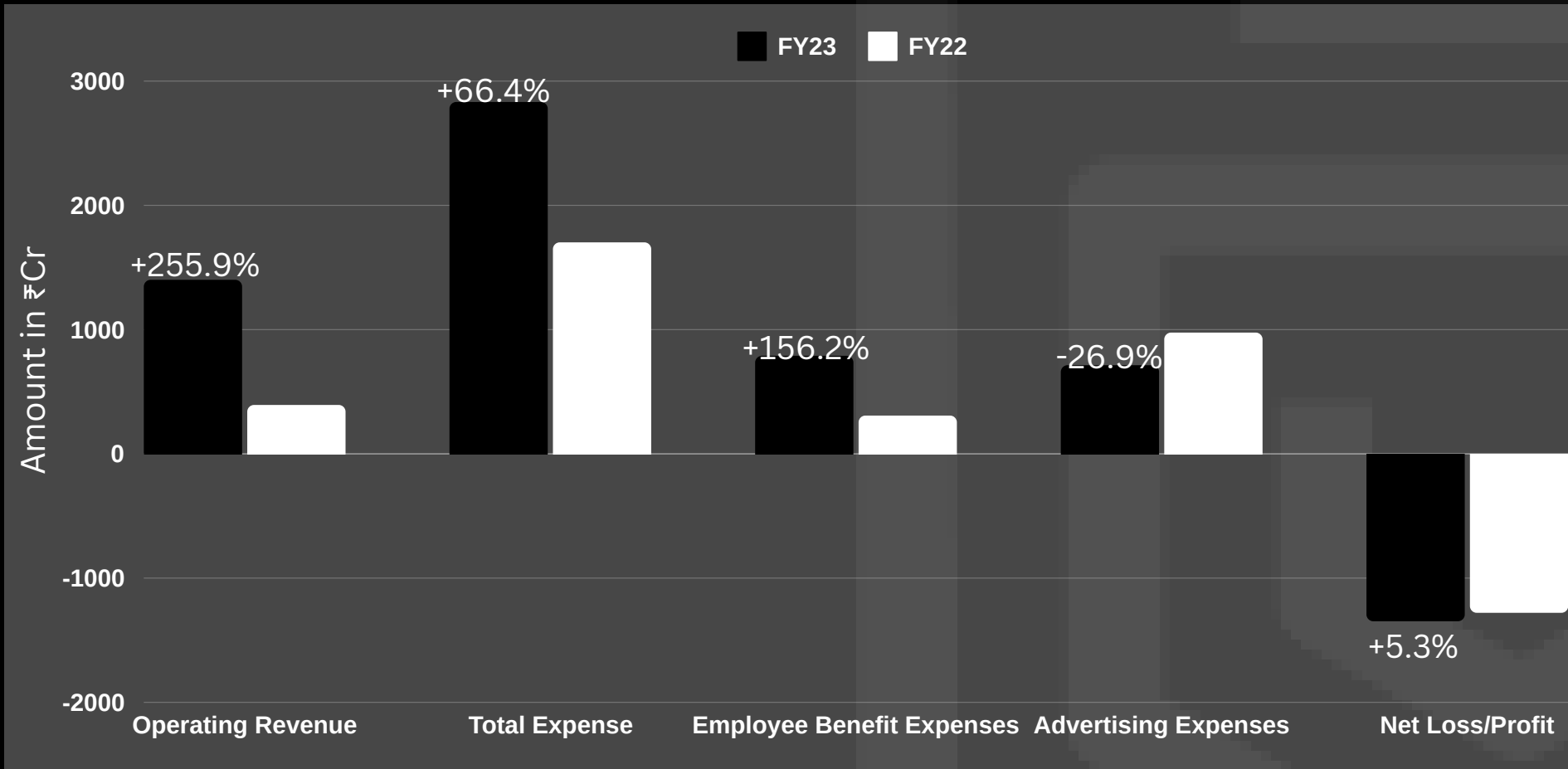


Nearly 90% of the revenue is derived from three key services: CRED Cash, Cred Max, and various insurance products.

- Scan and Pay
- CRED Max
- CRED Garage
- CRED Escapes
- CRED Rewards
- CRED RentPay
- CRED Cash and Mint
- CRED Store
- CRED Pay
- CRED Travel

CRED's Financial Summary

CRED's operating revenue grew 3.5X to Rs 1,400.6 crore in FY23 from Rs 393.5 crore in FY22.



Expense Pattern

- 1** **Payment Processing Charges** and Other Direct Costs rose **3.54 times** from 155.1 Cr to **704.6 Cr** accounting to nearly a **quarter** of total expense in FY23
- 2** CRED has been generous with **employee benefit** expenses with an increase of **156%** from FY22 amounting to a **quarter** of total expense in FY23
- 3** CRED held back on marketing and promotion with a **drop of 27%** compared to FY22, focusing somewhat on **Acquisitions and Investments**

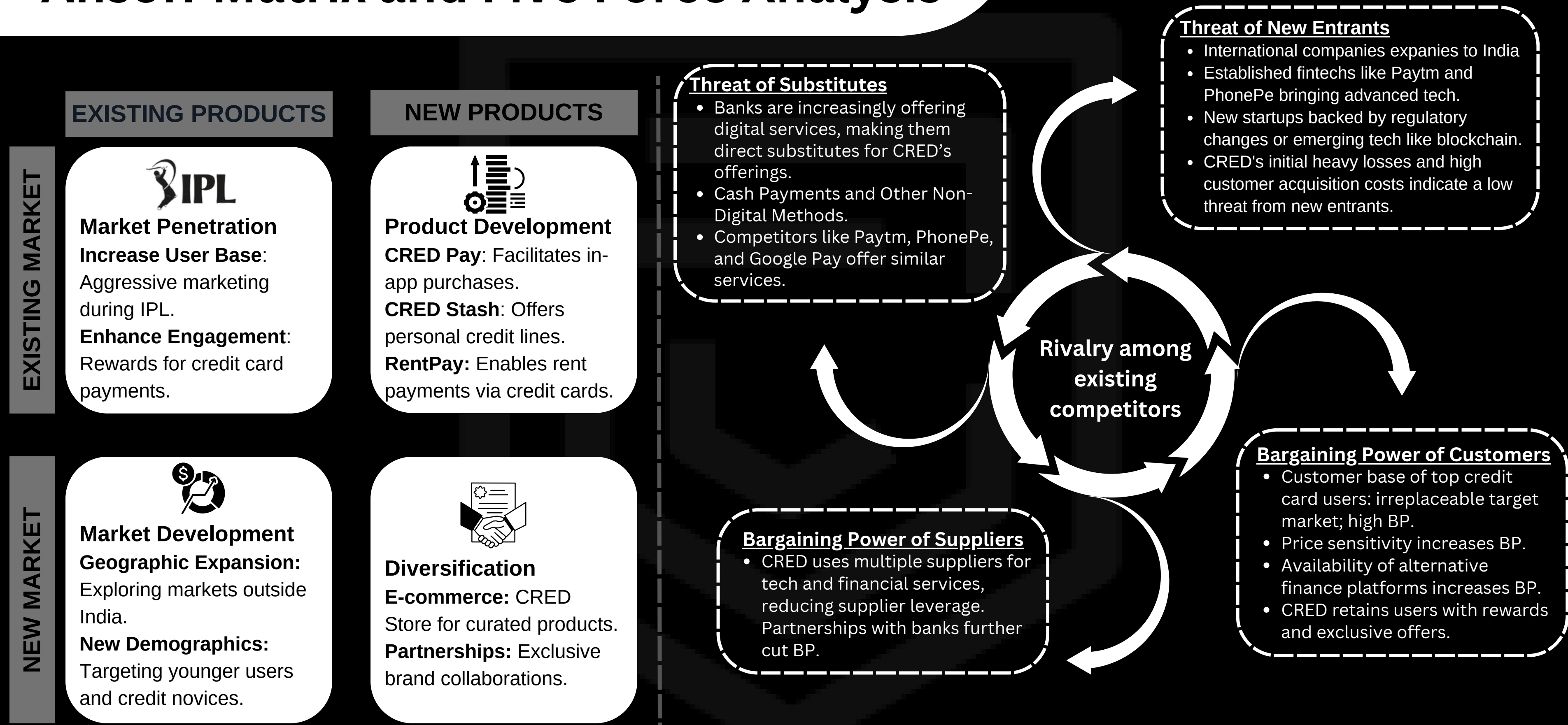
CRED's Marketing Stance

Huge investment and brilliant marketing tactics has helped CRED acquire a large customer base



In its last press release, CRED claimed to have a **third** of Credit Card user in India on its platform

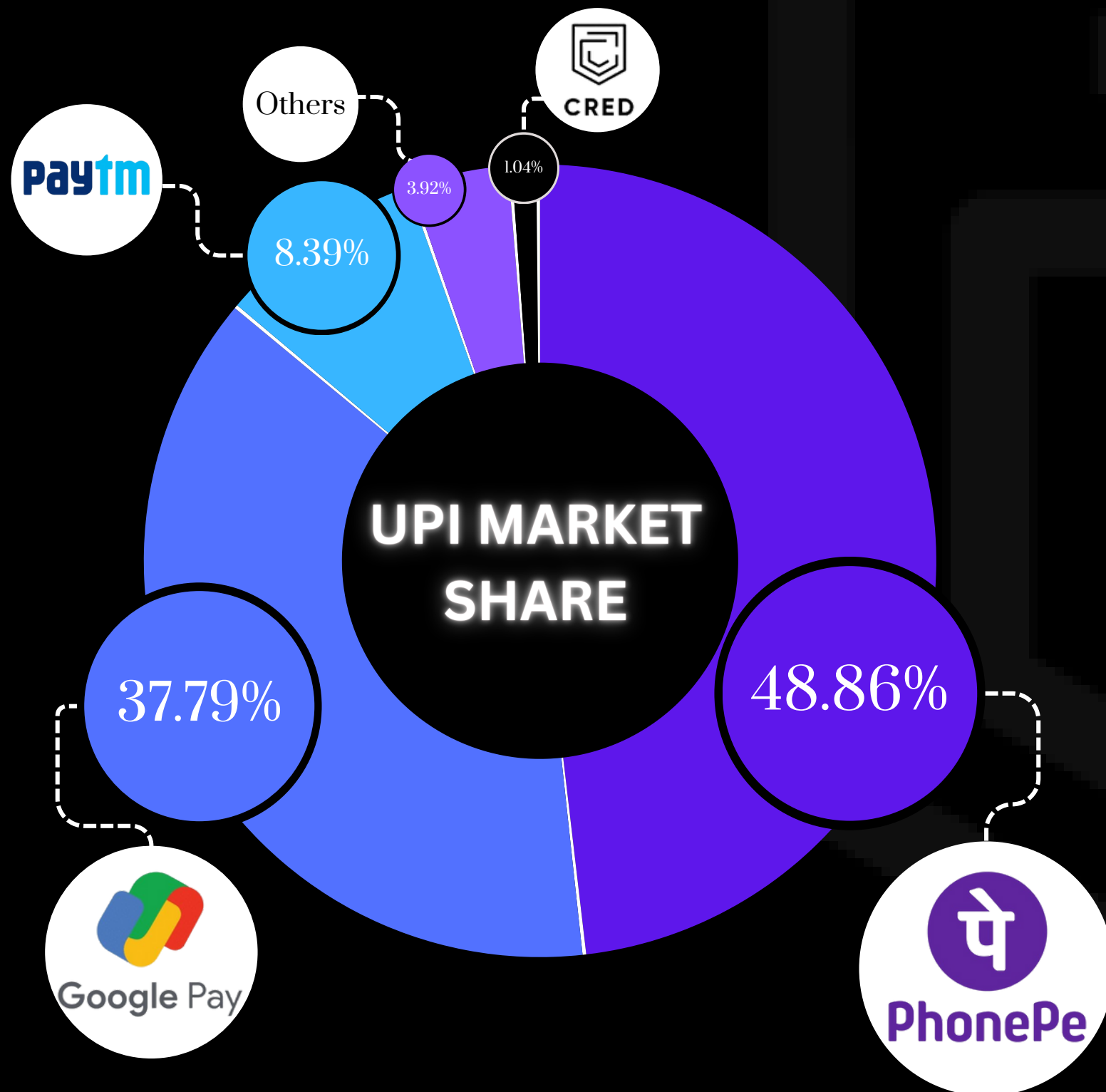
Ansoff Matrix and Five Force Analysis



Intense competition from fintech players like Paytm, PhonePe, and Google Pay. Crowded market requires continuous innovation and aggressive customer acquisition strategies.

UPI = KPI?

With a readily digitalizing India, market share of UPI transactions is a major indicator of brand presence in fintech world.



UPI market share

Profits Growth
Indicator ❌

Non-volatile
Customer Indicator ✅

➤ Most UPI market share - still 1755
Crore in loss in FY23 

- Incorporation in daily life of Customer
- Established UPI deals with retailers
- Indicates funds in process at Customer Level



How can CRED penetrate the UPI market and increase its UPI market share, keeping in mind, the main objective is to acquire permanent customers and then expand upon the services CRED offers to monetize those customers

UPI Market Share

How can CRED penetrate the UPI market and increase its UPI market share, keeping in mind, the main objective is to acquire permanent customers and then expand upon the services CRED offers to monetize those customers

UNDERSTANDING UPI MARKET SHARE

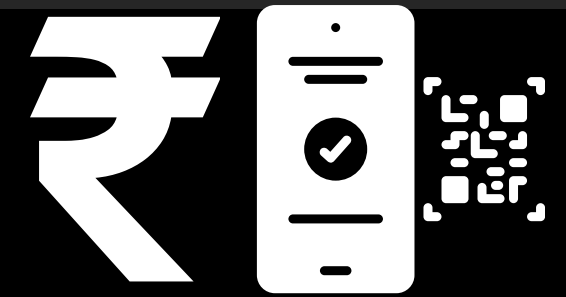
UPI market share is calculated by the total amount transacted through CRED's UPI compared to the total volume of cash flow through UPI

UNDERSTANDING NON CUSTOMERS

People with below 750 credit score, people who are not looking for credit card management services directly, people who use alternate services, etc.

CONCLUSION

By increasing UPI market share, the ultimate goal is to increase the volume transacted as through CRED's network, indicating a increased grasp on the Indian market/economy.



Strategic Partnerships

CRED has 1000+ brand partners ranging from fast food brands, ecommerce brands, travel partners, etc. CRED has dedicated partnership portal and programmes.

[DONE]

Acquisitions and Investments

CRED already has few strategic investments and acquisitions, which it can use to leverage to incorporate new services while targeting non customers

Exploring Products

Introducing Credit Card helps directly target non customers - teens, people with less credit score than 750, etc

Introducing New Services

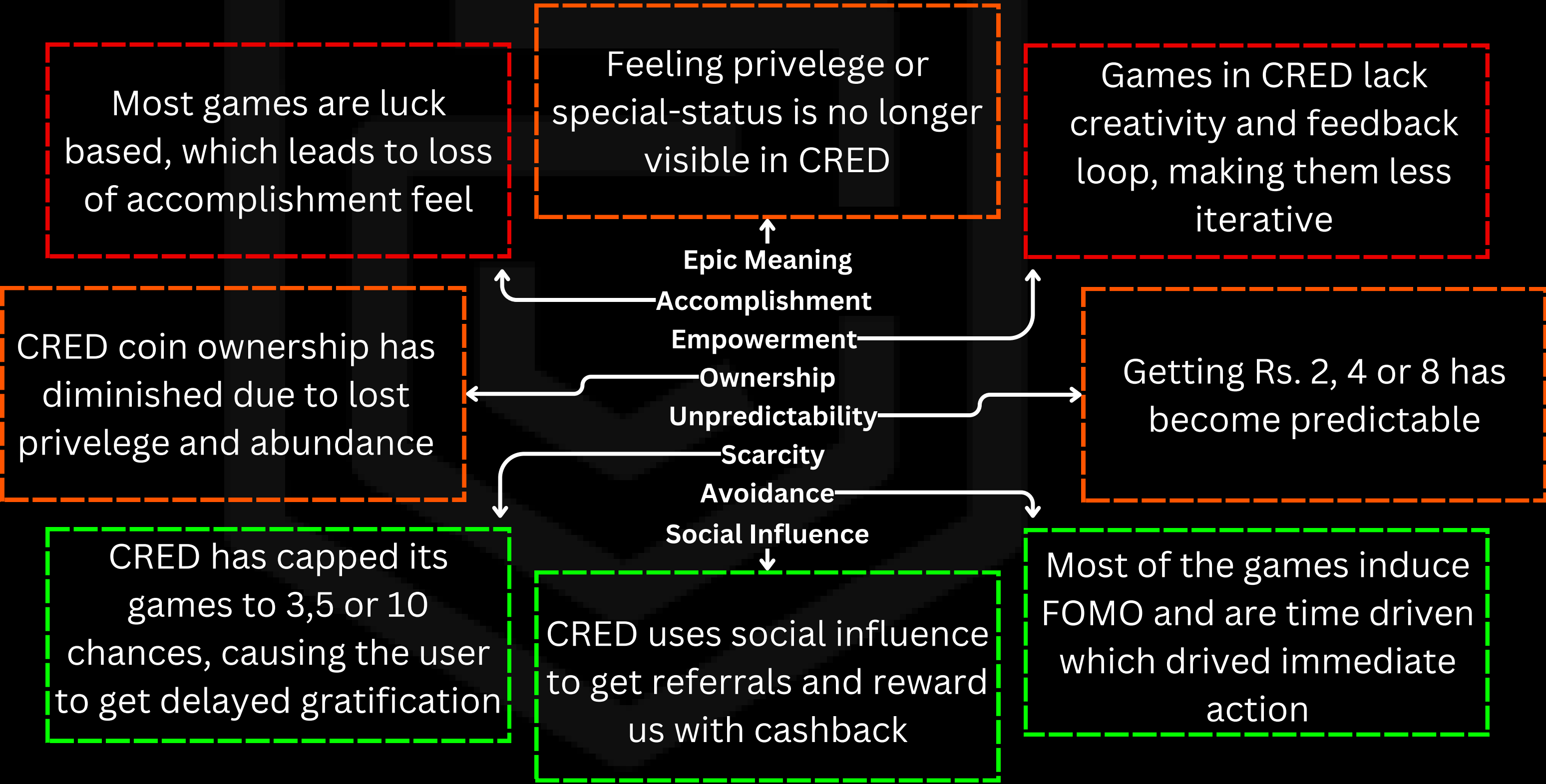
Monetise this expanded customer base by introducing new services like *Insurance, Corporate Aiding Solutions like expense management, show booking, travel booking (train, bus, airplane), etc.*

Keep expanding on services until few stand out and generate good chunk of the profits.

Additional Suggestions: Product Review

Over-gamification of CRED app might lead to lower user retention and engagement

Octalysis Analysis of



Leveraging Acquisitions

CRED has various acquisitions that provide means to tap into an untapped customer segment outside the CRED app

UPI-using-customer increment

Make it easy for people to onboard CRED

→

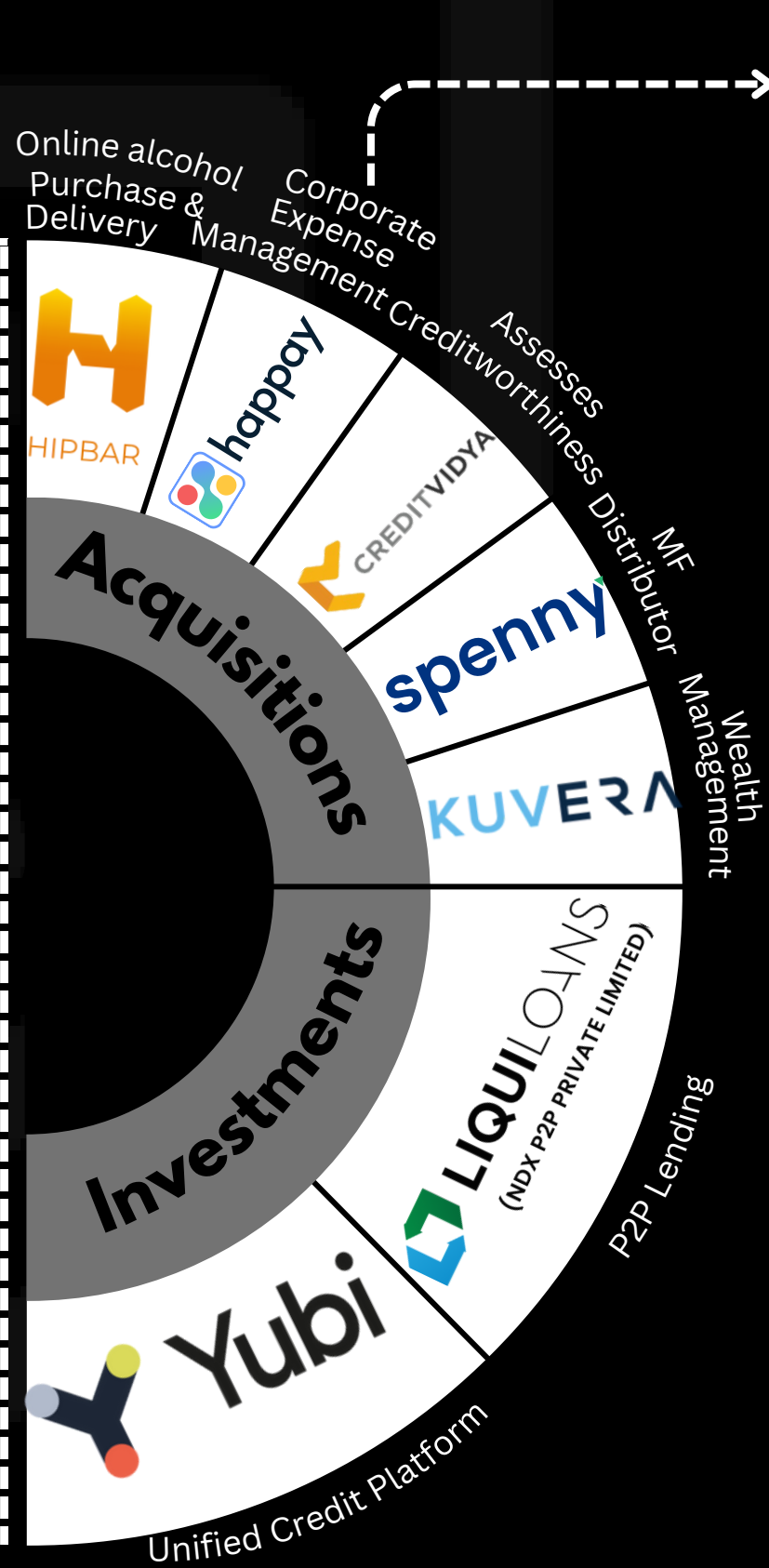
Reduce 750 credit score limit

UNDESIRABLE

Target audience is primarily creditworthy and trustworthy customers

- Service Expansion**
- Gold/Silver Investment
 - Asset Management
 - Real Estate Management
 - Corporate Finance Management
 - Insurance Services

- Look at alternate sources of targeting **non-customers**.
- Expand CRED's portfolio by acquisitions and investment
- Incorporate CRED's presence of UPI within those Acquisitions
- Provide a smooth transition for non-customers from alternate platforms onto CRED, through package deals, and incentives
- Target the ineligible customers with low credit scores onto the alternate platform itself.



Example: happay

Corporate Expense Management

Global Market Size

- USD 7.65 billion (2024)
- USD 15.12 billion (2032)

Indian Market Size (guesstimated)

- USD 0.5 billion (2024)
- USD 1.1 billion (2032)

Non-customer potential

- 1.7 million corporates

Good Market Capture Potential

Directly targetting corporates, which dont require credit card management services or interested in value propositions CRED offers on an individual level

(1)Targeting non-customers: Credit Cards

Metrics for consideration

Reason:

Less than 5% of indian population uses credit cards ,

As of December 2023, there were 97.9 million outstanding credit cards

CAGR if Credit Card issuance being ~20%

Estimated Credit Cards by March26E ~200 million

Potential of Credit Card Market: **HIGH**



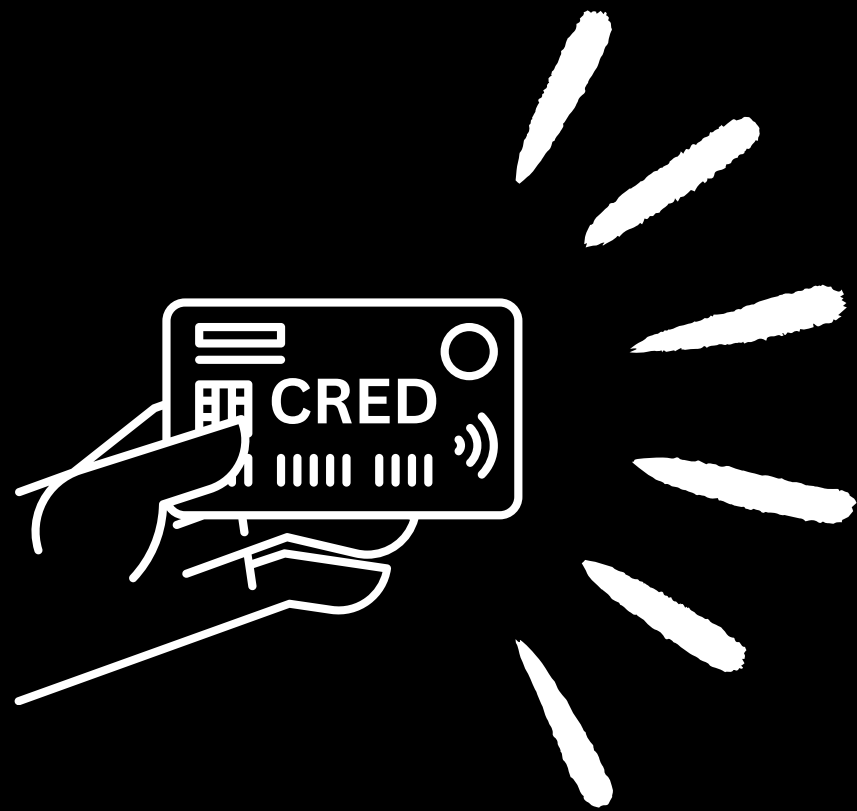
Assets:

IDFC Partnership

Vast User Data + atleast 22% Credit Card Users (as per CRED)

1000+ Brand Partnerships

Large Funding Backup + Relevant Investments

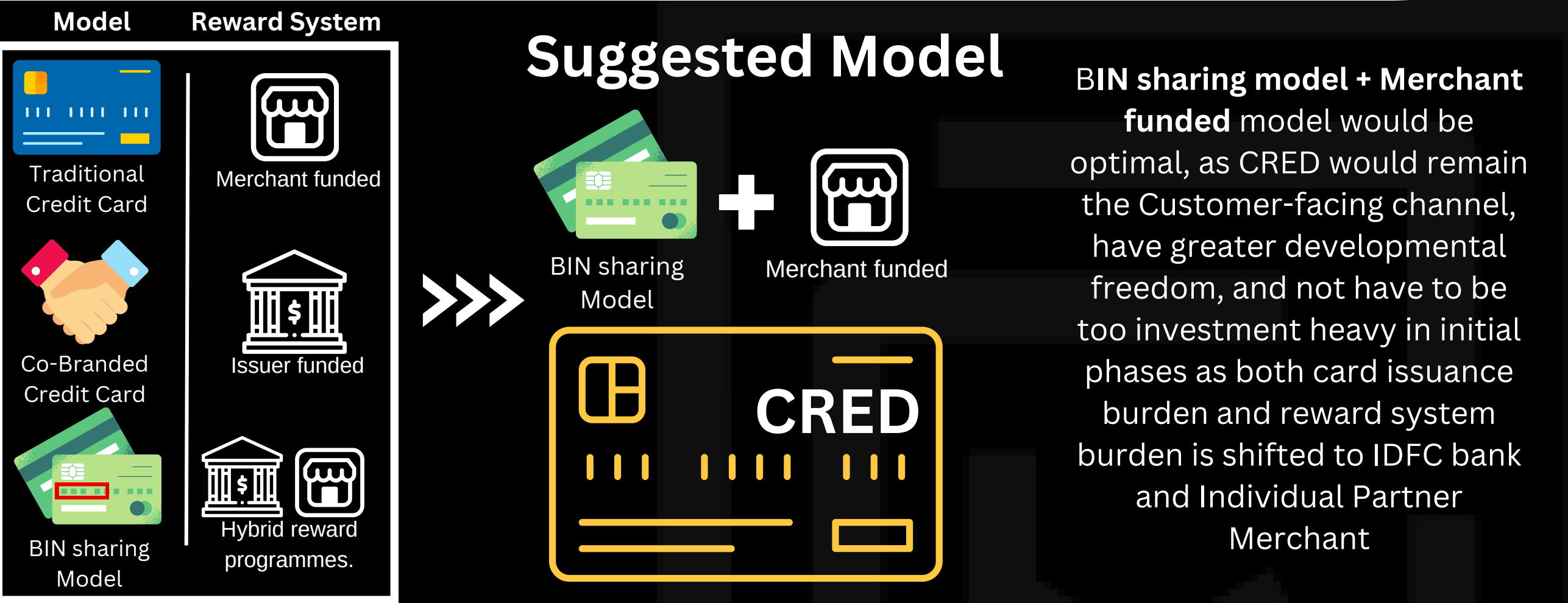


Segmentation

Primary Segment with low penetration		Secondary Segment with low penetration	
Location	Tier II and III cities	Location	Tier I cities
Occupation	Self-employed professionals, Early jobbers	Occupation	Students
Age	18–25 years 55+ years	Age	13-18
Income	Customers with income in the range of INR 2.5–5 lakh	Income	0 (reliant on parents)
Relationship	New to credit	Relationship	New to credit

(2)Targeting non-customers: Credit Cards

Considerations



(3)Targeting non-customers: Credit Cards

Primary Segment Market Entry - Tier II and III cities. Early jobbers / self employed. Aged 18-25, 55+

Challenge

People associate credit card with unnecessary financial burden meant only for the rich.

Positioning

Reward your future, take CRED’s Credit Card and build a good credit score so when you need a loan in future, you don’t struggle.

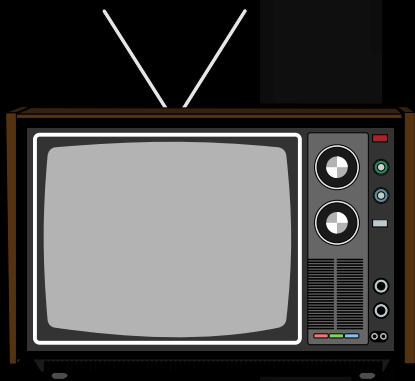
Question

How can we drive a narrative that people will end up needing loans, and without a good Credit Score, that can be very tough. CRED will ensure to guide users towards good financial credibility and facilitate easy loan acquirement down the line.

Primary Channel for Market Entry.

Media Channels

- TV, Radio, Newspaper, Billboards
- Targetted Social Medias
- Since this is more **general** market, some testing is required to pin point which channel are most efficient



Marketing Campaign

“Surakshit Bhavishya with CRED”

Ads portraying how difficult laon acquirement would be without a good credit scores, putting up emotion enducing scenarios



Key Features

Reward Systems

Low interest rates / no hidden charges

Financial Planning Tools and Educational Resources

Credit Score Trackers

Credit Building Programs

Financial Health Reports

Loan Pre-qualifications



(4)Targeting non-customers: Credit Cards

Secondary Segment Market Entry - Tier I cities. Teenagers. Aged <18

Challenge Parents worry that credit cards will lead teenagers to excess independence, reckless spending and debt, due to lack of financial knowledge

Positioning The best way for teenagers to build healthy financial competence in a perfectly regulated environment, while developing independence.

Question
How do we create an image in upper middle class parents' minds that CRED is the only trustworthy source for their kids to learn finance and develop an independent identity while absolutely not being allowed to be reckless.

Primary Channel for Market Entry

Partnerships with schools and colleges

- More effective value communication
- Precise market is targetted.
 - Offer commission benefits to schools.

Social Media

- Extensive presence in target segment's life.
- youtube, instagram, linkedin, X, etc.
 - Scope for influencer marketing



Marketing Campaign

"SmartStart with CRED"



Ankur Warikoo



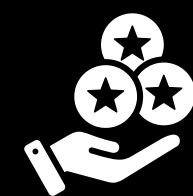
CA Rachana Ranade



Sharan Hegde



Perfect for targetting teens as well as parents interested in financial literacy.



Key Features

- Hyper Personalization
- Educational Resources
- Parental Control and Spending/Category Restrictions
- Spending Reports and Goal Oriented Management
- Reward System
- Curated offers for relevant spendings

Impact Projections

Key Assumptions

- Credit Card launched in collaboration with IDFC bank in FY25
- Proper pathways to target non direct customers through alternate channels are emphasised upon
- CRED remains domestic and not go Global before atleast FY26
- No new competitors. Competitors do not shift focus on Credit Card management.

Highlights

5%

UPI Market Share by 2026

68.7
Mn

Customer base by 2026

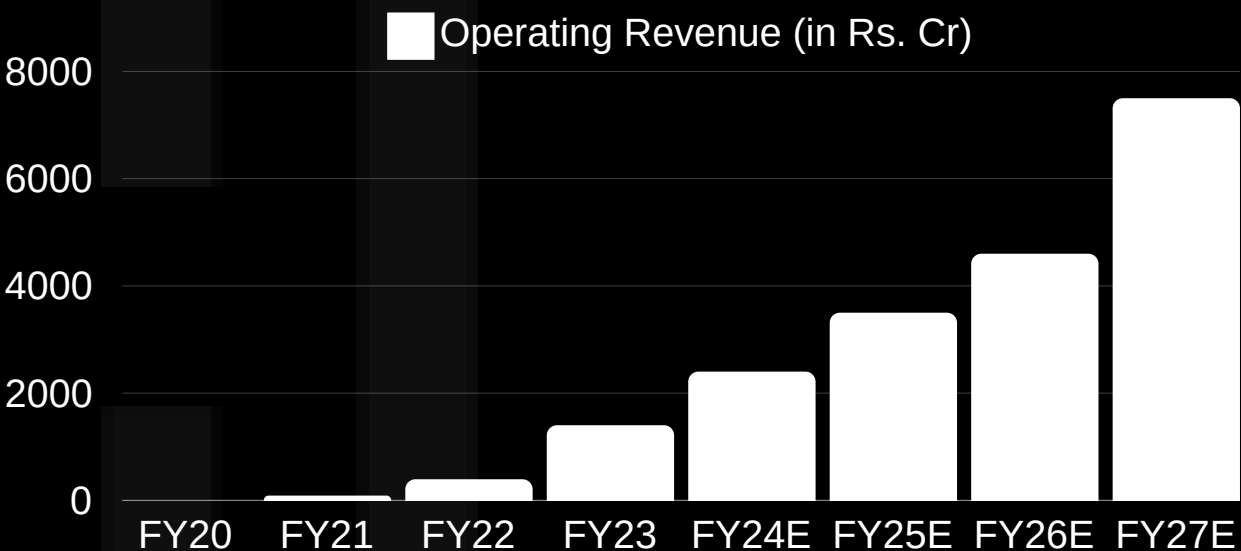
FY26

Break Even Point

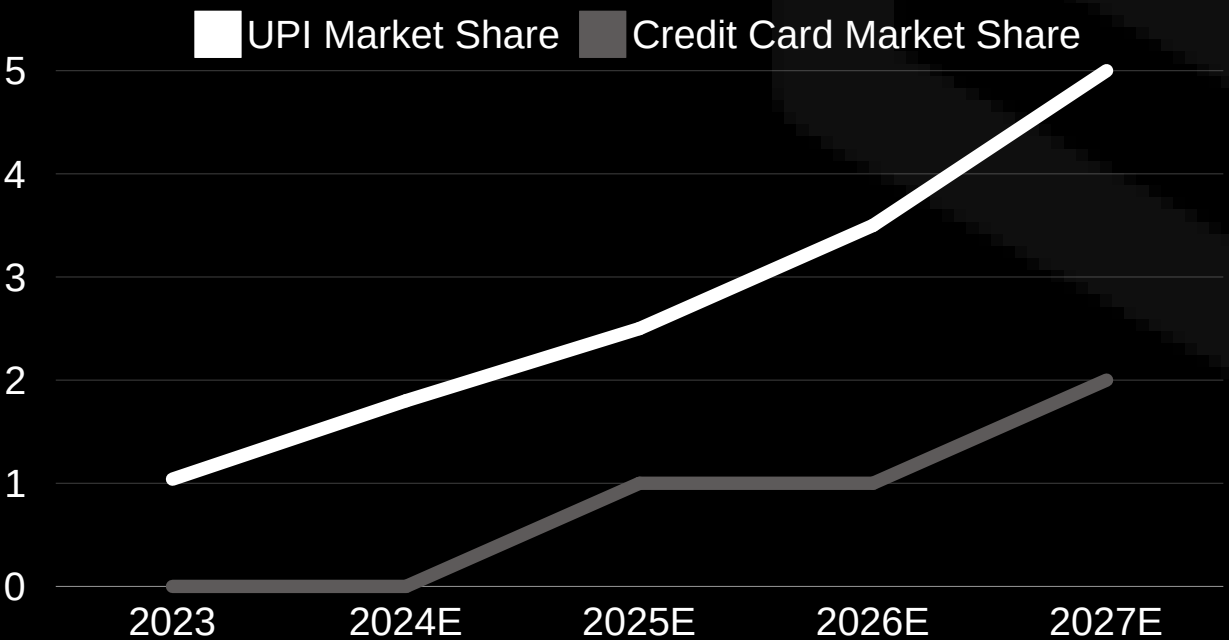
0.5%

EBIDTA Margin in FY26

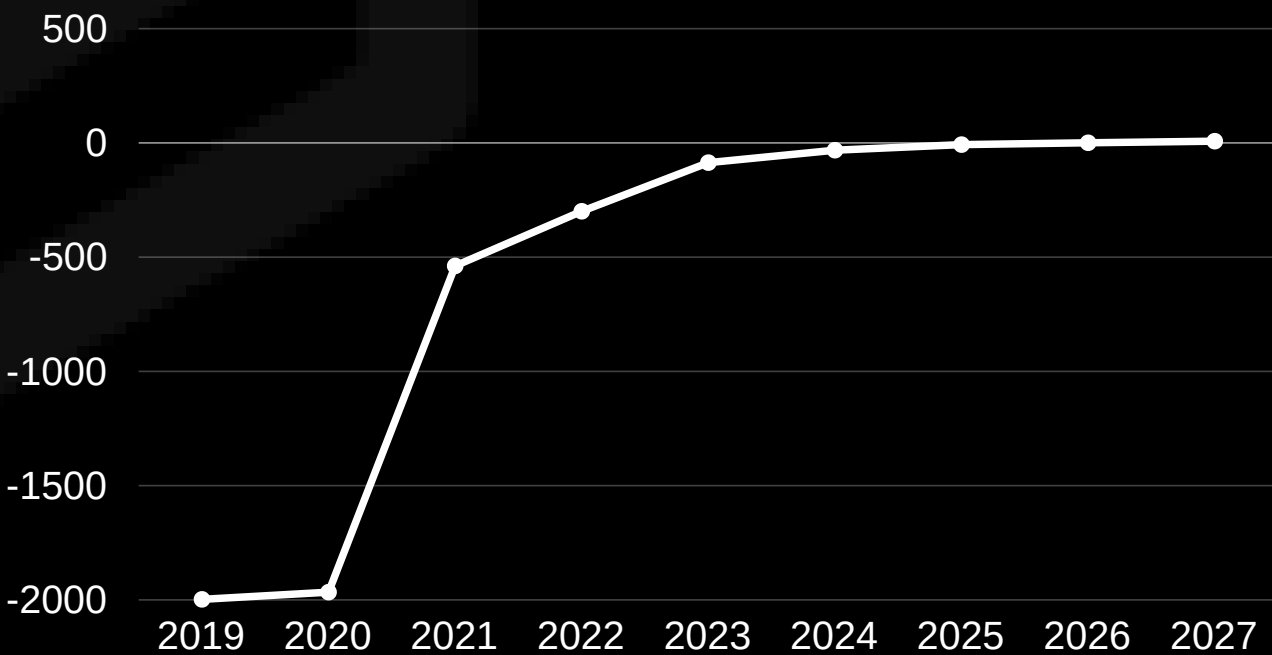
Revenue Projections



UPI Users / Credit Card Users



EBIDTA Margins



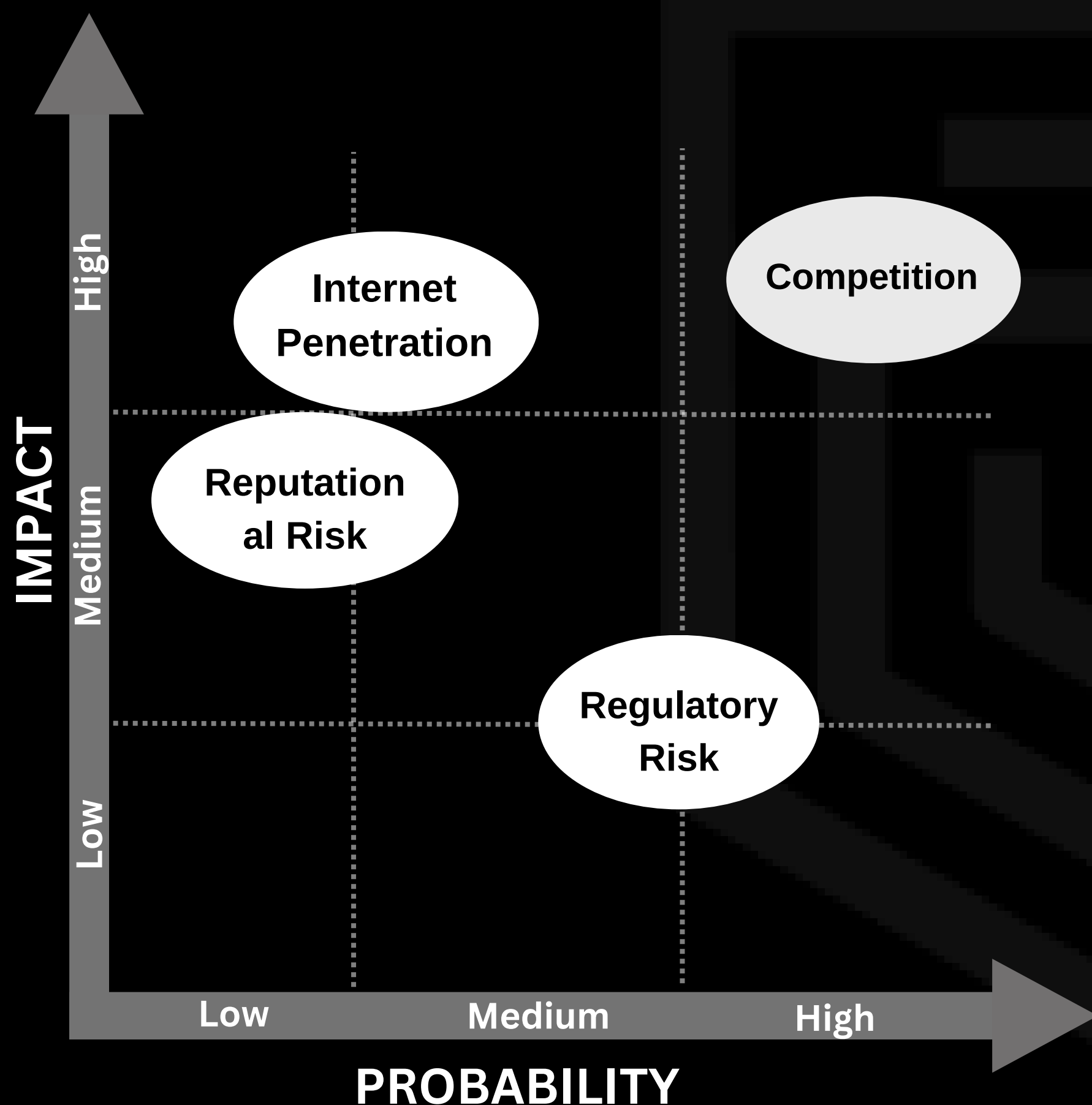


CRED

THANK YOU

Reach out to us on 
Prasoon Pandey || Samridhi

Appendices: Risks Involved



➤ **Competition** – Credit Card Market is dominated by 6 top players and UPI market by 3 dominant giants

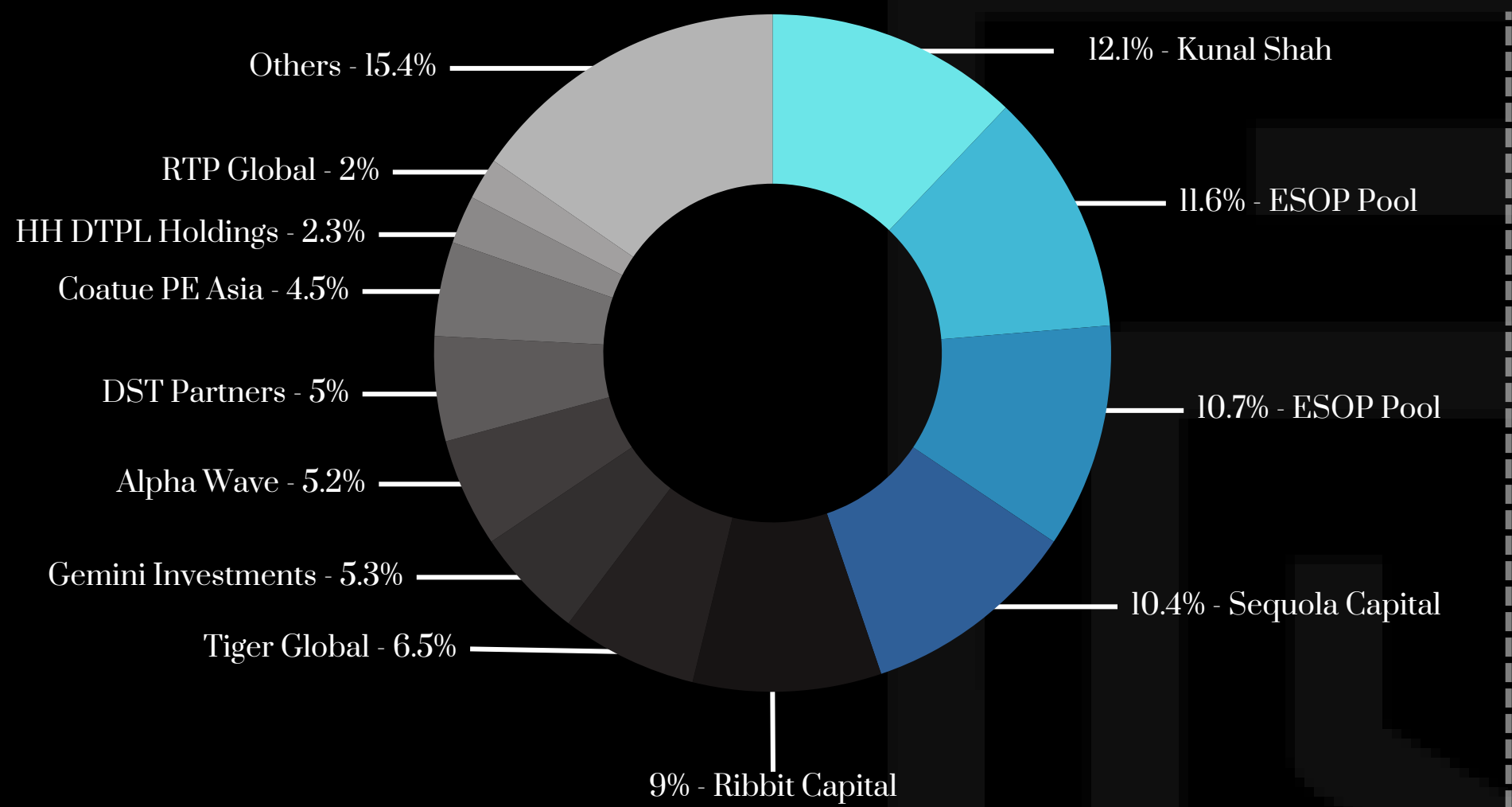
➤ **Internet Penetration** – Slow growth of internet penetration & Credit Card adoption may dampen growth in Tier 2 & 3 Cities

➤ **Reputational Risk** – Leak of fake/confidential information regarding internal policies might lead to backlash.

➤ **Regulatory Risks** – Uncertainty regarding RBI laws which might lead to a significant lag in projections

- RBI's regulatory actions on Paytm spark a threat for other competitors as well
- NPCI's UPI market cap of 30% to 'de-risk' one or two platforms from becoming too critical for payments volumes, is scheduled to be implemented by 31st December 2024
- RBI guidelines have barred issuers from loading the prepaid payment instruments (PPIs) with credit lines

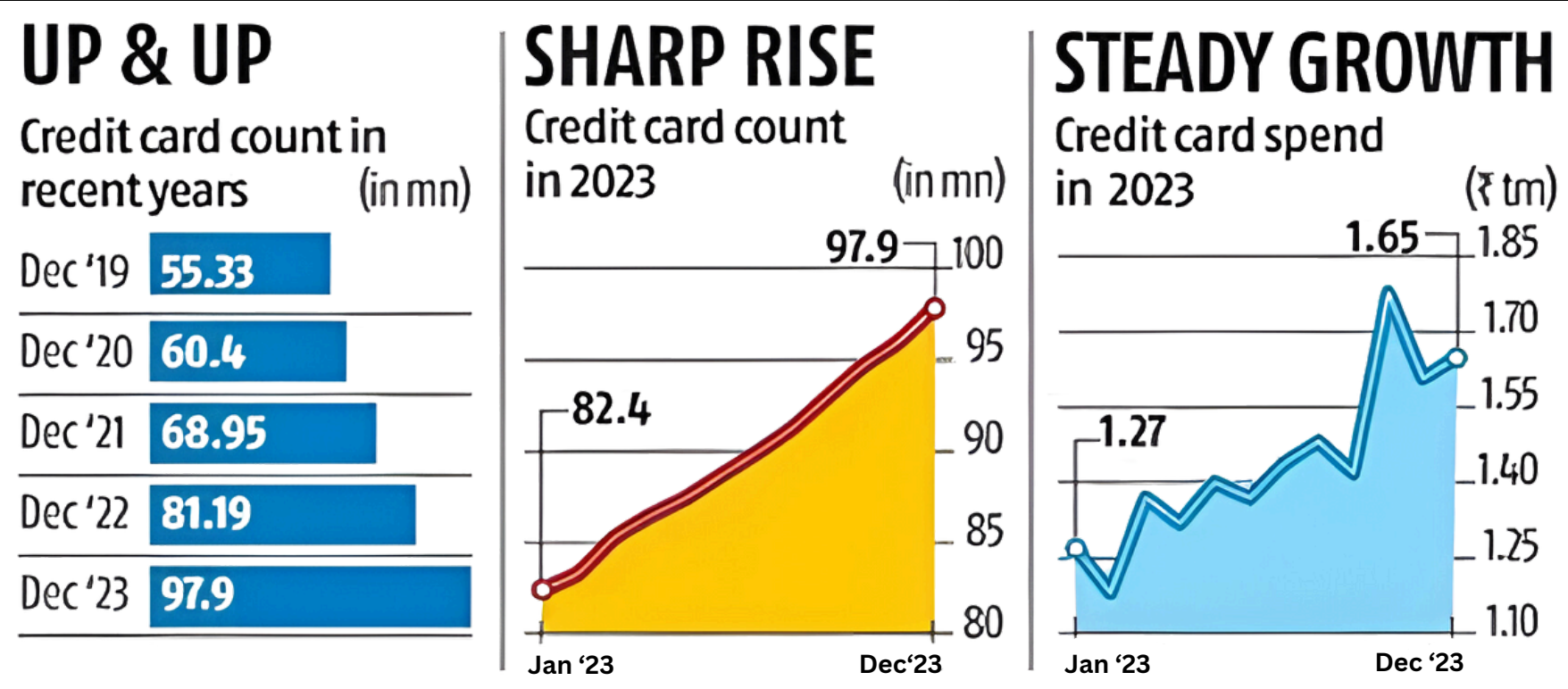
Appendices: Shareholding Pattern, Funding and Financials



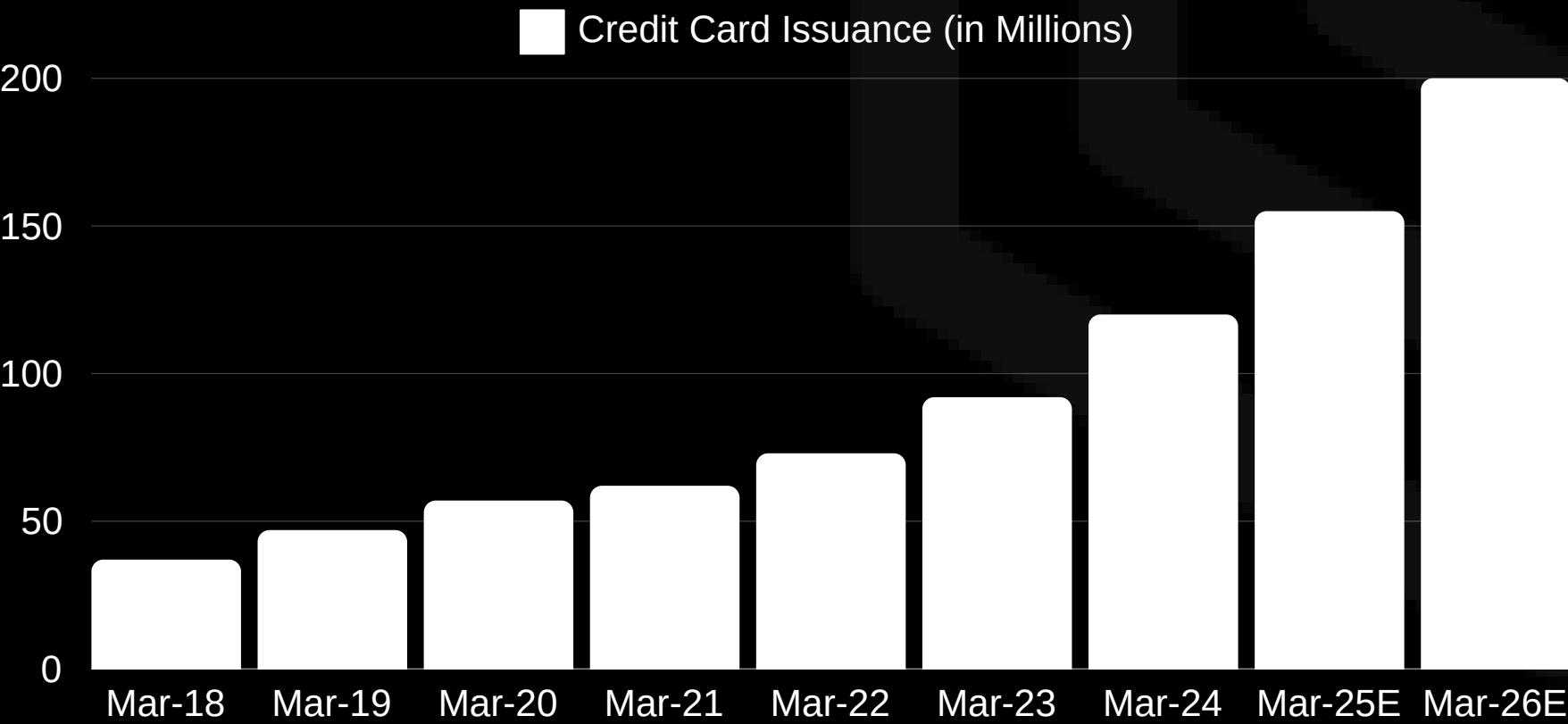
SERIES	YEAR	FUNDS	VALUATION	LEAD INVESTORS
A	Aug 2018	\$30 million	\$75 million	Sequoia Capital India
B	Aug 2019	\$120 million	\$450 million	Ribbit Capital, Gemini Investments, Sequoia Capital India
C	Jan 2021	\$81 million	\$806 million	DST Global
D	April 2021	\$215 million	\$2.2 billion	Falcon Edge Capital, Coatue Management
E	Oct 2021	\$251 million	\$4.01 billion	Tiger Global, Falcon Edge Capital
F	June 2022	\$140 million	\$6.4 billion	GIC, Sofina Ventures
G	June 2023	\$200 million	\$6.8 billion	GIC, Tiger Globa

	FY19	FY20	FY21	FY22	FY23
EBIDTA Margin	-1997.68%	-1966.2%	-538.33%	-299.24%	-86.42%
Expenditure/Operational Revenue	-	726.7	7.2	4.33	2.02
ROCE	-96.85%	-56.6%	-70.05%	-42.65%	-31.95%

Appendices: Credit Card Market



*Source: RBI data and PwC payments handbook 2021-22



*Source: RBI data and PwC payments handbook 2021-22

100

-million Card Card users in India currently

16%

Card-based transactions YoY growth

80%

Credit card base is concentrated with the top-six issuers in the country